

HOUSE BILL 1325

By Lamberth

AN ACT to amend Tennessee Code Annotated, Title 43,
Chapter 1, Part 1, relative to the farmland
preservation fund.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 43, Chapter 1, Part 1, is amended by
adding the following as a new section:

43-1-1___. Farmland preservation fund.

(a) It is the intent of the general assembly to preserve farmland and forestland in Tennessee without limiting the ability of farmers and foresters to use their property for their agricultural pursuits. The general assembly intends to secure the economic, environmental, and societal benefits of farmland and forestland for future generations. Further, the general assembly finds Tennessee history and culture to be positively impacted by agricultural endeavors and believes preserving farmland and forestland will provide food security for generations to come.

(b) Subject to annual appropriations, there is established a fund for the development and implementation of programs that benefit Tennesseans by preserving farmland and forestland, including a grant program for conservation easements.

(1) There is established within the general fund a special agency account to be known as the farmland preservation fund for funds allocated to the department of agriculture for purposes of this section.

(2) Any unencumbered moneys and unexpended balance of the fund remaining at the end of a fiscal year does not revert to the general fund but must be carried forward and maintained until expended in accordance with this

section. The state treasurer shall invest moneys in the fund for the fund's benefit pursuant to § 9-4-603. Interest accruing on investments and deposits of the fund must be returned to the fund and remain a part of the fund. The fund must only consist of moneys appropriated from the general fund or interest accruing on investments and deposits in the fund.

(3) The commissioner of agriculture shall administer the fund.

(c)

(1) As used in this subsection (c), "qualified easement holder" means a 501(c)(3) nonprofit organization that is exempt from federal income taxation under Section 501(c)(3) of the Internal Revenue Code (26 U.S.C. § 501(c)(3)) and that acquires or proposes to acquire a conservation easement on farmland or forestland in the state, whether through purchase, donation, or other transfer.

(2) Subject to the following, the department of agriculture shall develop a grant program within the farmland preservation fund for farmland and forestland owners to enroll their land in a permanent conservation easement held by a qualified easement holder:

(A) The department of agriculture may award a grant to a qualified easement holder or directly to the farmer or forester;

(B) A grant application must include, at a minimum, the following:

(i) Proof satisfactory to the department of agriculture that the farmer or forester has entered into, or has contracted to enter into, a conservation easement with a qualified easement holder;
and

(ii) Proof satisfactory to the department of agriculture that the farmland or forestland covered by the conservation easement will be used for farm or forestry purposes; and

(C) A qualified easement holder shall not sell, transfer, release, or otherwise divest a conservation easement acquired by participating in the grant program.

(d) Governmental entities are not eligible to participate in a grant program created pursuant to this section.

(e) The commissioner of agriculture is authorized to promulgate rules to effectuate this section, including the establishment of eligibility criteria. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. The heading in this act is for reference purposes only and does not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect on July 1, 2025, the public welfare requiring it.